

RETAIL SALES & ASSORTMENT VELOCITY ASSESSMENT

6. Executive Headline

A \$7.71M Net Sales business with healthy 46.3% gross margins, but heavily concentrated in Location B (78.6%) and top 20% SKUs (59.4%), carrying 1,230 Dead Stock SKUs (\$40.4k trapped COGS) and an immediate \$17.6k COGS data anomaly in Accessories.

NET SALES \$7,712,364.96 8,843 Product Rows	GROSS PROFIT \$3,570,633.28 (46.3%) Healthy Assortment	PARETO CONCENTRATION Top 20% SKUs = 59.4% \$ Top 10 Vendors = 40.6%	DEAD STOCK AT RISK 1,230 SKUs (\$40.4k COGS) Bottom 10% Velocity
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7. Performance Overview

Across 6 months, 268,741 units were sold across 228,144 orders. Assortment volume is driven by Flower (\$3.04M / 39.4% share), Vape (\$1.91M / 24.8%), and Pre-Roll (\$1.27M / 16.5%). Profit margins remain resilient across key categories: Concentrates (50.6%), Vape (48.8%), Pre-Roll (46.7%), Edibles (45.8%), and Flower (44.9%). Location B represents the commercial engine (\$6.06M / 78.6%), Location A provides stable volume (\$1.59M / 20.7%), while Location C severely underperforms (\$60.1k / 0.78%).

8. Key Drivers and Exceptions

- **Pareto Concentration:** 1,071 items (top 20%) generate 59.4% of sales. Reaching 80% of revenue requires only 2,055 SKUs (38.4% of catalog).
- **Accessories Margin Deficit Anomaly:** Accessories displays an artificial -13.8% margin due to SKU *Series-A-0189* (\$17,612.50 recorded COGS vs \$382.30 sales across Loc A/B, causing a -\$17.2k margin loss). Correcting this restores Accessories to a healthy +35% margin.
- **Returns & Outliers:** 3 customer return rows (\$-206.29) and 12 zero-COGS rows (\$804.73 sales @ 100% margin) audited.

9. Priority Products / Categories / Locations / Vendors

- **Top Drivers (Protect):** Series-C-0832 (\$14.7k sales, 45.9% margin), Series-C-0565 (\$12.4k sales, 48.0% margin), Series-E-0218 (\$11.9k sales, 46.3% margin).
- **Core Vendors:** Top 10 vendors drive 40.58% of revenue (\$3.13M), led by Vendor-089 (\$563.5k), Vendor-023 (\$385.4k), and Vendor-046 (\$383.4k).
- **Priority Assortment Tiers:** 2,197 Fast Movers (62.9% sales); 1,230 Dead Stock SKUs (selling ≤ 1–2 units) holding \$40,413.52 trapped working capital.

10. Recommended Actions (Next 30 Days)

ACTION	TARGET FOCUS	OPERATIONAL IMPLEMENTATION
1. PROTECT	1,092 Fast Movers (≥45% Margin)	Contract SLA replenishment & shelf space priority to eliminate stockouts on top revenue drivers.
2. REPRICE	377 Fast Movers (<40% Margin)	Renegotiate wholesale cost tiers with Vendor-089 or adjust retail prices +2-3% (e.g. Series-C-0606).
3. CLEAR / CUT	1,230 Dead Stock SKUs (\$40.4k COGS)	Execute 30-day promotional markdowns to recover capital and de-clutter physical shelf space.
4. REBALANCE	Location C (670 SKUs / \$60.1k sales)	Trim Location C catalog by 50% to focus purely on top 150 company-wide bestsellers.

11. Limitations and Next-Data Request

Snapshot Scope Limitations: The dataset lacks transaction timestamps (no sales decay/recency signal) and stock-on-hand balances (cannot compute true sell-through rate or days-of-inventory).

Next Data Request: (1) Timestamped POS receipt logs, (2) Daily on-hand & safety stock inventory feeds, (3) Supplier lead-times and MOQs to operationalize automated Reorder Point (ROP) replenishment.